

HORIZON NATIONAL BANK

Anti-Money Laundering Policy 2026

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1. Purpose and Scope

This policy establishes the anti money laundering and combating the financing of terrorism framework of Horizon National Bank and applies to all employees, agents and outsourced service providers.

2. Designated Officers

The bank must appoint a Principal Officer responsible for reporting to the Financial Intelligence Unit and a Designated Director accountable for overall compliance with this policy.

The Principal Officer shall have direct access to the Board and shall not hold any role that creates a conflict of interest.

3. Transaction Monitoring Thresholds

The following transactions must be captured and reported:

- All cash transactions of a value exceeding INR 10,00,000 or the equivalent in foreign currency.
- All series of integrally connected cash transactions below INR 10,00,000 that aggregate above that value within a calendar month.
- All cash transactions where forged or counterfeit currency notes have been used.
- All suspicious transactions, whether or not made in cash, irrespective of value.
- All cross border wire transfers exceeding INR 5,00,000 where either the originator or the beneficiary is outside India.

4. Reporting Timelines

- Cash Transaction Reports must be submitted by the 15th day of the month following the month of the transaction.
- Suspicious Transaction Reports must be submitted within 7 working days of the internal conclusion that a transaction is suspicious.
- The customer must not be informed that a Suspicious Transaction Report has been or will be filed. Tipping off is a punishable offence.
- Counterfeit Currency Reports must be submitted by the 15th day of the succeeding month.

5. Sanctions Screening

Every customer must be screened against applicable sanctions lists at onboarding and rescreened whenever a list is updated. A positive match must be escalated to the Principal Officer within 1 working day and the relationship must be frozen pending review.

Screening must cover the customer, beneficial owners, authorised signatories and counterparties to cross border transactions.

6. Politically Exposed Persons

Onboarding a politically exposed person requires senior management approval, source of funds and source of wealth verification, and annual review of the relationship.

The same treatment applies to close relatives and known associates of a politically exposed person.

7. Record Keeping and Training

Records of all reported transactions must be maintained for 5 years from the date of the transaction. All customer facing staff must complete anti money laundering training annually.

Training completion must be evidenced by an assessment with a minimum pass mark of 80 percent.

8. Independent Testing

The internal audit function shall test the effectiveness of anti money laundering controls at least annually and report findings to the Audit Committee of the Board.

End of Anti-Money Laundering Policy 2026. This document supersedes all prior versions. Queries to Compliance Department.